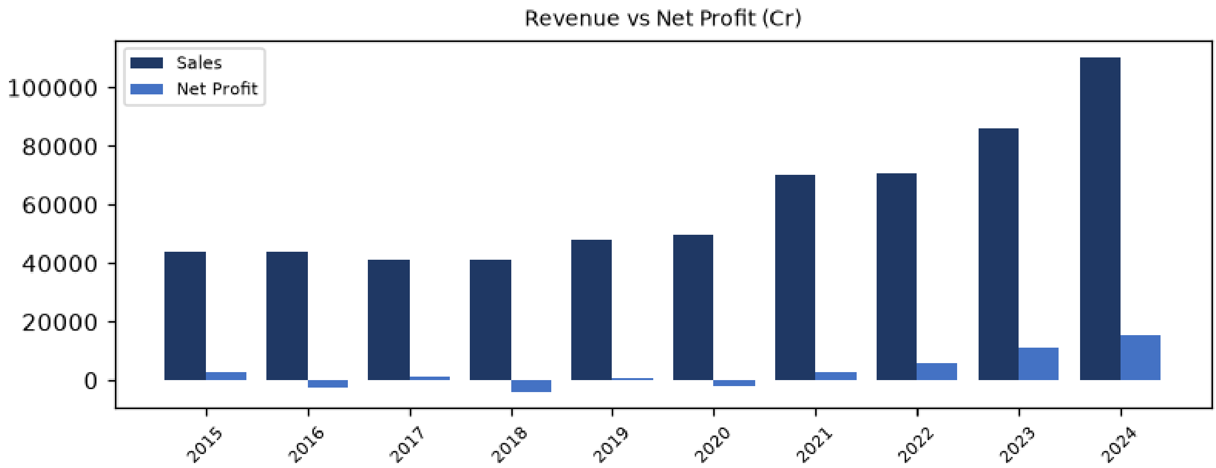
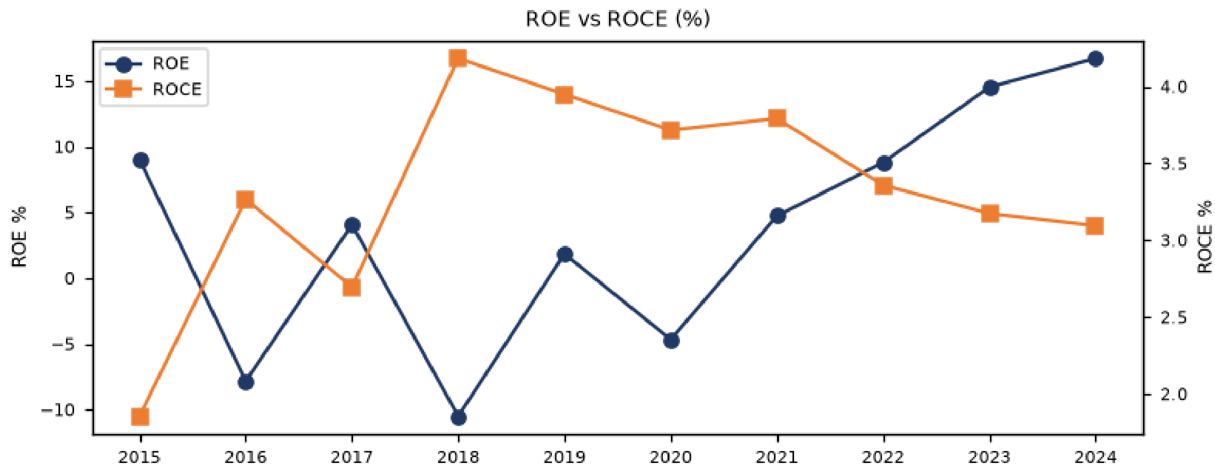
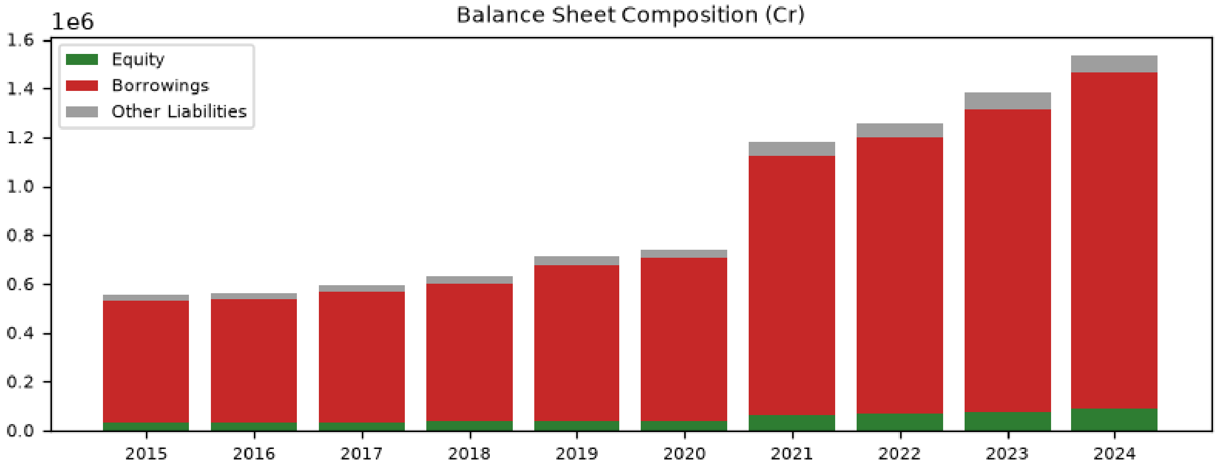
Canara Bank (CANBK) Financials

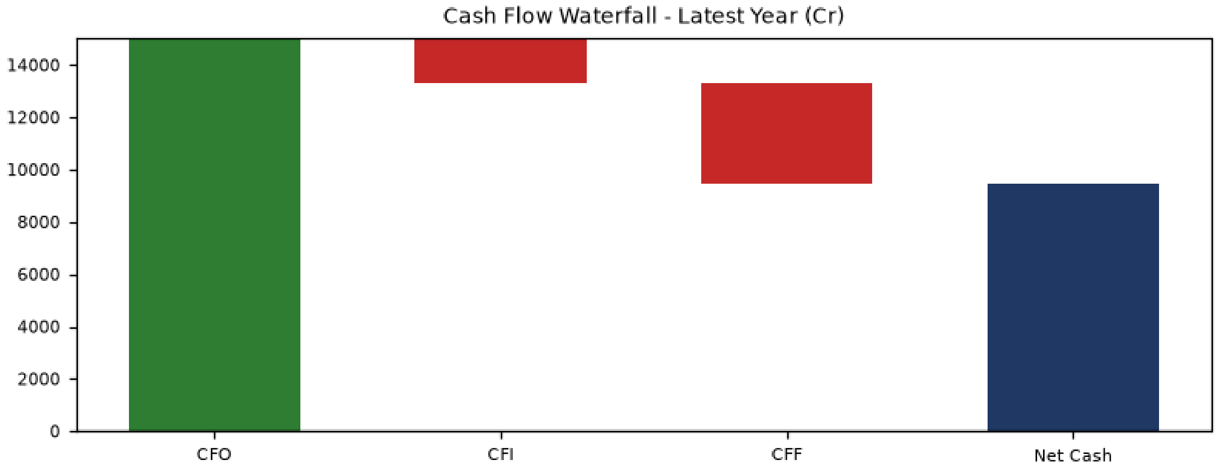
ROE **16.7%**	ROCE **3.1%**	Net Margin **13.9%**
D/E **14.87**	Rev CAGR 5yr **18.2%**	FCF (Cr) **13296**





Balance Sheet & Cash Flow





Pros

- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Consistent dividend yield above 2% backed by positive free cash flow
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure

Capital Allocation: Shareholder Returns